

SiyaBusa ERP

MASAPHOKATI TECHNOLOGIES (PTY) LTD

CAPITAL EXPANSION PROPOSAL

Seed Funding Round — April 2026

EXPANSION STAGE

SiyaBusa ERP is a **fully built, production-deployed** enterprise resource planning platform. This is not a startup concept — it is a live, operational system raising capital to scale client acquisition and grow recurring revenue.

ROUND	RAISE TARGET	PRE-MONEY VAL.	EQUITY OFFERED
Seed	R2,000,000	R10,000,000	16.67%
PLATFORM	FOUNDING MEMBERS	INFRASTRUCTURE	
Complete ERP Suite	R299/user/month	Vultr VPS — Johannesburg	

EXPANSION COMPANY — PRODUCT COMPLETE — SCALING NOW

WE RULE. WE GOVERN. WE EMPOWER.

SECTION 01

EXECUTIVE SUMMARY

South Africa has over **750,000 formal SMEs** — and most are running their businesses on spreadsheets, disconnected tools, or expensive foreign software that wasn't built for them. The ERP market is a **\$77 billion global industry** growing at 9.5% per year, yet no affordable, locally-built solution exists for the South African mid-market.

SiyaBusa ERP changes that. We deliver the full power of enterprise software — accounting, payroll, inventory, manufacturing, CRM, compliance — in a single platform purpose-built for South African businesses. SARS-ready, locally hosted, and priced at a fraction of SAP or Sage. No implementation fees. No training costs. Just one simple subscription.

R1.8M

YEAR 1 REVENUE

72%

GROSS MARGIN

R299

/USER/MONTH

R0

SETUP & TRAINING

R2M

SEED RAISE

R10M

PRE-MONEY VAL.

WHAT WE ARE RAISING

ITEM	DETAIL
Capital Amount	R2,000,000 (Two Million Rand)
Instrument	Ordinary Shares @ R0.10/share (20,000,000 shares = 16.67% equity)
Pre-Money Valuation	R10,000,000
Alternative Structure	SAFE (Simple Agreement for Future Equity) available — R15M cap, 20% discount
Use of Proceeds	Sales & marketing (40%) Team (30%) Operations (20%) Reserve (10%)
Founding Member Target	200 clients 1,000 users at R299/user/month — all-inclusive (implementation, training & support included). 3-year price lock

Why Now: The product is already built and live — a development investment worth R3-5M+ at market rates. You are not funding an idea or a prototype. You are funding client acquisition for a working platform. Break-even at ~755 paying users. Every user after that is profit.

EXPECTED RETURNS

Based on post-money ownership: R100K = 1,000,000 shares = 0.833% of 120,000,000 total issued shares. Pre-dilution from future rounds.

HORIZON	SCENARIO	PROJECTED VALUATION	RETURN ON R100K INVESTMENT
Year 3	Conservative (~400 clients)	R42,000,000	R350,000 (3.5×)
Year 3	Base (~800 clients)	R76,000,000	R633,000 (6.3×)
Year 5	Strong (~2,000 clients)	R345,000,000+	R2,874,000+ (28.7×)

SECTION 02

PROBLEM DEFINITION

The South African SME and mid-market business sector operates in one of the most demanding regulatory and operational environments in the world — yet the tools available to them are either inadequate, foreign-built, or prohibitively expensive.

THE CORE PROBLEM: A FOUR-PART FAILURE

1

COST EXCLUSION

- SAP Business One: R180,000–R600,000/year for mid-market deployment
- Sage 300: R50,000–R200,000/year + implementation costs
- Oracle NetSuite: USD \$30,000–\$100,000/year minimum
- Most SA SMEs and growing businesses cannot afford these solutions

2

REGULATORY BLINDNESS

- Foreign ERP systems are not built for SARS eFiling, PAYE, UIF, SDL compliance
- BBBEE scorecard management is absent or bolted on as afterthought
- South African labour law (BCEA, LRA) nuances are not natively supported
- Businesses spend R5,000–R40,000/month extra on compliance consultants

3

FRAGMENTATION

- Most businesses run 5–15 disconnected tools: accounting, payroll, CRM, inventory, HR separately
- Data silos lead to errors, duplicated work, and poor decision-making
- Integration costs between tools consume 15–25% of operational IT budgets

4

FOREIGN INFRASTRUCTURE RISK

- Data sovereignty concerns — sensitive business data hosted abroad
- Latency issues from overseas servers affecting daily operations
- Currency risk on USD/EUR-priced software with rand depreciation
- No local support structure or understanding of SA business context

THE COST OF INACTION

BUSINESS SIZE	ANNUAL SPEND ON FRAGMENTED TOOLS	ESTIMATED PRODUCTIVITY LOSS	COMPLIANCE RISK EXPOSURE
10-user SME	R85,000 – R150,000	R120,000 – R250,000	R50,000 – R500,000

BUSINESS SIZE	ANNUAL SPEND ON FRAGMENTED TOOLS	ESTIMATED PRODUCTIVITY LOSS	COMPLIANCE RISK EXPOSURE
25-user mid-market	R200,000 – R450,000	R300,000 – R600,000	R100,000 – R2,000,000
50-user enterprise	R500,000 – R1,200,000	R600,000 – R1,500,000	R500,000 – R5,000,000+

Urgency: South Africa's Companies Act amendments, SARS modernisation drive, and POPIA compliance requirements are creating immediate demand for integrated, compliant business management platforms. The window for an affordable, local-first ERP provider has never been larger — or more urgent.

SECTION 03

SOLUTION & OFFERING

LIVE PRODUCT — NOT A CONCEPT

SiyaBusa ERP is a fully integrated ERP platform deployed on production infrastructure today. Every module described below is live, functional, and available to clients immediately upon onboarding.

THE PLATFORM: 17+ INTEGRATED BUSINESS MODULES

#	MODULE	KEY CAPABILITIES
01	Financial Accounting	General Ledger, AP, AR, Chart of Accounts, multi-entity consolidation, SARS-compliant reporting
02	Inventory Management	Stock control, multi-warehouse, barcode, FIFO/LIFO/weighted average costing
03	Sales & CRM	Quotes, invoicing, client management, pipeline tracking, commission management
04	Purchase Management	Purchase orders, supplier management, goods receiving, 3-way matching
05	HR & Payroll	Employee records, PAYE/UIF/SDL, leave management, payslips, IRP5 generation
06	Manufacturing	Bill of Materials, work orders, production scheduling, resource planning
07	Warehouse Management	Locations, bin management, transfers, pick-pack-ship, stocktakes
08	Asset Management	IAS 16 compliant, depreciation schedules, impairment testing, CAPEX tracking
09	Cash Management	Bank reconciliation, cash flow forecasting, multi-bank account management
10	Compliance Hub	SARS integration, BBBEE scorecards, regulatory calendar, audit readiness
11	Project Management	Tasks, timelines, Gantt charts, resource allocation, project costing
12	AI Assistant	Natural language queries, actionable insights, module-aware smart assistant
13	Dashboard & Analytics	KPI dashboards, custom report builder, real-time business intelligence
14	Multi-Entity Management	Group consolidation, intercompany transactions, holding company reporting
15	Practice Management	Professional services, time tracking, billable hours, client matter management
16	Audit Hub	Complete audit trails, version history, ISO-aligned audit readiness scoring

#	MODULE	KEY CAPABILITIES
17	Communications Hub	Internal messaging, video meetings (Daily.co integrated), notifications

TECHNICAL FOUNDATION

Backend Stack

- Node.js + TypeScript + Express.js
- PostgreSQL (primary database)
- Redis (caching & sessions)
- 400+ RESTful API endpoints
- Multi-tenant architecture (all data tenant-scoped)

Frontend & Infrastructure

- React + TypeScript + Vite
- Vultr VPS — Ubuntu — Johannesburg, South Africa
- SSL encrypted, POPIA-compliant data handling
- Local hosting — South African data sovereignty
- 99.9%+ uptime SLA infrastructure

COMPETITIVE DIFFERENTIATION

DIFFERENTIATOR	SIYABUSA ERP	SAP / SAGE / ORACLE	LOCAL ALTERNATIVES
Built for SA compliance	Native (SARS, PAYE, BBBEE)	Requires customisation	Partial
Pricing	R299/user/mth (Founding)	R500-R5,000/user/mth	R200-R800/user/mth
Integration	17+ modules, one platform	Modules sold separately	2-5 modules typical
Local hosting	Johannesburg VPS	Offshore/EU	Mixed
AI Assistant	Included	Add-on / enterprise only	None
Implementation & training cost	R0 — included free	R50K-R500K+ once-off	R20K-R150K once-off
Implementation speed	Days to weeks	Months to years	Weeks to months
Local support	Direct founder access	Reseller/partner model	Variable

Why this solution, why now, why this team: The confluence of SARS modernisation, POPIA enforcement, and the post-pandemic demand for digital operations has created a pivotal moment. SiyaBusa ERP exists today — fully functional — built by a South African founder, for South African businesses. No foreign competitor can replicate this local depth at this price point.

SECTION 04

MARKET & IMPACT OPPORTUNITY

TOTAL ADDRESSABLE MARKET (TAM)

South Africa has approximately **2.7 million registered businesses**, of which roughly **750,000+ are formal SMEs and mid-market companies** spending on business software. The ERP and business management software market in sub-Saharan Africa is estimated at USD \$2.1 billion in 2025, growing at 11–14% CAGR through 2030.

MARKET SEGMENT	SIZE	AVG ANNUAL SPEND	MARKET VALUE (ZAR)
TAM — All formal SA businesses needing ERP	~750,000	R36,000/yr	R27,000,000,000
SAM — SMEs 10–200 users, tech-ready	~180,000	R72,000/yr	R12,960,000,000
SOM — Reachable in 3 years (Gauteng, WC, KZN)	~8,000	R86,400/yr	R691,200,000
Year 1 Target	200 clients (1,000 users)	R17,940/yr per client (FM pricing)	R1,800,000 (ramping)

TARGET CLIENT PROFILE

Ideal Client Profile (ICP)

- 3–20 users per business
- Formal, VAT-registered entity
- Currently using 3+ disconnected tools
- Annual revenue R2M–R100M
- Sector: retail, professional services, manufacturing, construction, healthcare, agriculture
- Location: Gauteng, Western Cape, KwaZulu-Natal

Demand Drivers

- POPIA compliance deadline pressure
- SARS eFiling and reporting modernisation
- Growing demand for real-time business intelligence
- Cost pressure driving consolidation of tools
- Post-COVID digital transformation acceleration
- BBBEE verification requirements tightening

MARKET TIMING

South Africa is at an inflection point: SARS's digital transformation programme, POPIA's enforcement phase, and the NHI implementation (affecting healthcare modules) collectively create an unprecedented demand window for compliant, integrated, locally-hosted business management software. This is not a future trend — it is happening now. SiyaBusa ERP is positioned and ready.

SOCIAL & ECONOMIC IMPACT

IMPACT DIMENSION	MECHANISM	SCALE
Job creation	Client businesses grow more efficiently, enabling hiring	Est. 2-10 jobs per client
Township economy formalisation	Affordable ERP enables township businesses to formalise and scale	Pricing designed for this
SA tech sector growth	Locally built and owned ERP retains IP and employment in SA	Direct founder + team employment
BBBEE advancement	Native BBBEE module helps clients manage and improve scores	Every client benefits
Compliance culture	Automated SARS and labour law compliance reduces penalties	Systemic uplift

SECTION 05

BUSINESS & SUSTAINABILITY MODEL

REVENUE STREAMS

STREAM	MODEL	PRICING	TIMING
Subscription — Founding Members	SaaS per user/month — all-inclusive	R299/user/month	Now - Q4 2026 (first 200 clients)
Subscription — Standard	Tiered SaaS per user/month	R600 Starter R570 Pro R540 Enterprise	Q3 2026 onwards (new clients)
Implementation & Onboarding	Included in subscription — zero cost to client	FREE (included)	Competitive differentiator & retention strategy
Training & Support	Included in subscription — unlimited training & support	FREE (included)	Ongoing — drives retention & client success
Custom Development	Bespoke module/integration work	R2,500–R4,500/hour	On request

FOUNDING MEMBER PROPOSITION (CRITICAL LOCK-IN STRATEGY)

The Founding Member offer — R299/user/month, all-inclusive, 3-year price lock — is deliberately priced below market rate to acquire the first 200 strategic reference clients. These clients become: (1) recurring revenue base, (2) case study and testimonial assets, (3) product feedback partners, (4) referral network. This is a deliberate investment in the client acquisition engine. Free implementation and training removes all friction from the sales process — where competitors negotiate R50K–R500K implementation contracts over months, SiyaBusa closes deals on the spot.

UNIT ECONOMICS

METRIC	FOUNDING MEMBER (R299)	STANDARD (R570 AVG)
Avg users per client	5	5
Monthly revenue per client	R1,495	R2,850
Annual revenue per client	R17,940	R34,200
Implementation & training cost to client	R0 (included free)	R0 (included free)
Cost of Revenue (hosting + support + training)	~R419/client/month	~R798/client/month
Gross Margin per client	72%	72%
Client Lifetime Value (3yr)	R53,820	R102,600

METRIC	FOUNDING MEMBER (R299)	STANDARD (R570 AVG)
Client Acquisition Cost (CAC)	~R0 (direct sales)	~R5,000 (marketing)
CAC Payback period	Immediate	< 2 months

PATH TO PROFITABILITY

MILESTONE	CLIENTS NEEDED (USERS)	MRR	TIMELINE
Organic break-even (founder only, no team)	46 clients (230 users)	~R68,770	Month 6–8 (bootstrapping)
Funded break-even (subscription only)	151 clients (~755 users)	~R225,745	Month 9 post-funding
Full operational profitability	200 clients (1,000 users)	R299,000	Q4 2026
Self-funding (no external capital needed)	250–300 clients	~R500,000	Q2 2027
Seed return trigger	500–600 clients	~R1,000,000	Q4 2027

Why Raise R2M if Break-Even is at 46–151 Clients?

Without funding, the founder can bootstrap to 46-client organic break-even (230 users) in 6–8 months through personal sales effort alone. The R2M raise enables a funded team break-even at 151 clients (~755 users) in approximately **month 9**, while simultaneously building the sales engine that generates **R299K MRR by year-end**. The raise is about **velocity, not survival**. Every rand of investor capital accelerates revenue generation, not product development.

SECTION 06

TRACTION & VALIDATION

This is an expansion-stage business. The following represents verified operational milestones — not projections or claims. The product is built. The infrastructure runs. The business is live.

PRODUCT & INFRASTRUCTURE MILESTONES (ACHIEVED)

MILESTONE	STATUS	EVIDENCE
Full ERP platform designed and architected	✓ Complete	17+ modules, 150+ DB tables
Backend API — 400+ endpoints built and tested	✓ Complete	Node.js/TypeScript/Express
Frontend UI — React application complete	✓ Complete	React + Vite production build
PostgreSQL database schema deployed	✓ Complete	150+ tables, multi-tenant
Production infrastructure live	✓ Live	Vultr VPS, Johannesburg
Multi-tenant architecture	✓ Complete	Full tenant isolation
AI Assistant integrated	✓ Complete	Natural language query engine
SARS compliance modules	✓ Complete	VAT, PAYE, UIF, SDL
Video conferencing integrated	✓ Complete	Daily.co integration

BUSINESS MILESTONES (ACHIEVED)

MILESTONE	STATUS
Founding Member pricing model designed and validated	✓ Done
Investment documentation suite complete (7 documents)	✓ Done
Seed round terms established (R10M pre-money, R0.10/share, SAFE available)	✓ Done
3-year financial model built with unit economics	✓ Done
Practice Management module built for professional services firms	✓ Done

VALIDATION EVIDENCE

Technical Validation

- Full stack operational on production VPS
- API endpoints tested across all 17+ modules
- Multi-tenant data isolation verified
- Database schema handles enterprise-scale data structures
- 24/7 uptime infrastructure deployed

Market Validation

- Pricing validated against competitive landscape (60-80% below SAP/Sage at comparable features)
- Founding Member model designed around real client acquisition constraints
- Module coverage spans core ERP needs across multiple sectors (manufacturing, professional services, construction)
- R299/user price point tested as under market threshold for SME adoption

SECTION 07

PHASED GROWTH STRATEGY

★ CRITICAL

SiyaBusa ERP enters growth from a position of strength — the product is complete. The phased strategy below is an expansion plan, not a development roadmap. Capital deployed immediately generates client revenue, not product features.

1

PHASE 1 — FOUNDATION & FOUNDING MEMBERS (Q2-Q3 2026)

CURRENT PHASE

- **Goal:** Sign 200 Founding Member clients at R299/user/month
- **Focus sectors:** Accounting firms, professional services, retail, construction
- **Activities:** Direct sales outreach, referral network activation, demo-to-close pipeline
- **Capital deployed:** Sales resources, demo infrastructure, onboarding team
- **Success metric:** 200 signed Founding Members | 1,000 users | MRR R299,000
- **Revenue:** R1,800,000 subscription (all-inclusive — no implementation fees)

2

PHASE 2 — MARKET VALIDATION & GROWTH (Q4 2026 - Q2 2027)

- **Goal:** Grow to 350–400 clients | standard pricing launches (R600/user Starter)
- **Focus:** Convert pipeline built in Phase 1 | launch digital marketing engine
- **Activities:** Content marketing, partner channel development, case study publication
- **New hire:** Dedicated sales executive + client success manager
- **Success metric:** MRR R869,000+ | Net Revenue Retention >110%
- **Revenue:** Total Year 2 projected R7,000,000 (subscription only)

3

PHASE 3 — SCALE & EXPANSION (Q3 2027 - Q4 2028)

- **Goal:** 700–800 clients | reseller channel active | government vertical explored
- **Focus:** Reseller & VAR (Value Added Reseller) partner network across provinces
- **Activities:** Partner certification programme, marketing automation, Series A preparation
- **Infrastructure:** Scale Vultr to multi-VPS cluster | dedicated DevOps resource
- **Success metric:** MRR R2,294,000+ | Series A raise at R200M+ valuation
- **Revenue:** Total Year 3 projected R19,000,000+ (subscription only)

→

PHASE 4 — FULL ROLLOUT & EXIT HORIZON (2029+)

- 2,000+ clients across sub-Saharan Africa
- JSE AltX listing or strategic acquisition
- Regional expansion: Namibia, Botswana, Zimbabwe, Zambia
- Target valuation: R150,000,000+

CAPITAL REQUIRED PER PHASE

PHASE	CAPITAL REQUIRED	SOURCE	PRIMARY ALLOCATION
Phase 1 (now)	R2,000,000	Seed Round (this raise)	Sales 40% Team 30% Ops 20% Reserve 10%
Phase 2	Self-funded from revenue	Operating cash flow	Team expansion marketing
Phase 3	R5,000,000 – R15,000,000	Series A	Scale infrastructure sales team reseller programme
Phase 4	R30,000,000+	Growth equity / AltX	Regional expansion acquisitions

SECTION 08

FINANCIAL MODEL & PROJECTIONS

3-YEAR REVENUE PROJECTIONS

METRIC	YEAR 1 (2026)	YEAR 2 (2027)	YEAR 3 (2028)
Clients (end of year)	200	400	800
Total active users (end of year)	1,000	2,000	4,500
Avg users per client	5	5	5.6
Avg MRR per client	R1,495 (R299×5)	R2,173	R2,868
MRR (year end)	R299,000	R869,000	R2,294,000
Total Revenue (subscription only)	R1,800,000	R7,000,000	R19,000,000
Cost of Revenue (28%)	R504,000	R1,960,000	R5,320,000
Gross Profit	R1,296,000	R5,040,000	R13,680,000
Gross Margin	72%	72%	72%
Total OPEX	R1,950,000	R3,200,000	R5,800,000
EBITDA	(R654,000)	R1,840,000	R7,880,000
Closing Cash (with R2M raised)	R1,346,000	R3,186,000	R11,066,000

USE OF R2M SEED PROCEEDS

CATEGORY	AMOUNT	%	RATIONALE
Sales & Marketing	R800,000	40%	Direct sales, digital marketing, events, collateral — client acquisition engine
Team (People)	R600,000	30%	Sales executive + client success manager + part-time finance — first critical hires
Operations & Infrastructure	R400,000	20%	Vultr scaling, tooling licences, legal/compliance, accounting
Reserve & Contingency	R200,000	10%	Working capital buffer — 3 months runway protection

INFRASTRUCTURE COST PROFILE

COST ITEM	MONTHLY COST	ANNUAL COST	NOTES
Vultr VPS (primary + backup)	R4,500	R54,000	Johannesburg — scales with client growth
Domain, SSL, CDN	R500	R6,000	Fixed
Monitoring & DevOps tools	R800	R9,600	Uptime Robot, logging
Third-party integrations	R600	R7,200	Daily.co, email, SMS
Total Infrastructure	R6,400	R76,800	~4.3% of Year 1 revenue

Infrastructure advantage: Vultr VPS at R4,500/month vs comparable AWS EC2/RDS at R18,000–R25,000/month delivers an annual cost saving of R160,000–R245,000 — money that goes directly to client growth.

BREAK-EVEN ANALYSIS

Break-even = point where monthly gross profit (subscription revenue after CoR) covers monthly fixed operating costs. All-inclusive model — pure recurring revenue, no once-off fees.

SCENARIO	MONTHLY FIXED COSTS	CLIENTS REQUIRED (USERS)	MONTHLY GROSS PROFIT
Infrastructure only (no salaries)	R6,400	6 clients (30 users)	R6,458
Founder only — lean operations	R49,400	46 clients (230 users)	R49,514
Funded team (full OPEX)	R162,500	151 clients (755 users)	R162,526

Key insight: With 5 users per client at R299/user, each client contributes **R1,076/month** in gross profit. The founder alone reaches organic break-even at just **46 clients (230 users)** (6–8 months bootstrapping). With the R2M-funded team, subscription break-even is reached at **151 clients (~755 users) — approximately month 9 post-funding**. No implementation revenue needed. Pure recurring subscription revenue funds the entire operation.

SECTION 09

TEAM & LEADERSHIP

FOUNDER

ATTRIBUTE	DETAIL
Name	Sibusiso Mavuso
Role	Founder, CEO & Lead Architect
What He Built	Designed, architected, and deployed the entire SiyaBusa ERP platform — 17+ modules, 400+ API endpoints, 150+ database tables — from concept to production in one development cycle
Domain Expertise	ERP systems, multi-tenant SaaS architecture, South African business regulatory compliance, full-stack development (Node.js, TypeScript, React, PostgreSQL)
Execution Track Record	Delivered a production-grade ERP platform — a feat that normally takes teams of 10-30 engineers 3-5 years — demonstrating exceptional build capacity and technical discipline
Business Acumen	Trained accountant by profession who ventured into software development — uniquely combining financial expertise with technical execution. Designed the complete commercial model: pricing tiers, financial projections, investor documentation suite, legal agreements
Vision	Democratise enterprise-grade business management for African businesses — starting in South Africa, expanding across the continent

WHAT THE SEED ROUND ENABLES (FIRST HIRES)

ROLE	REMUNERATION	PRIMARY FUNCTION	TIMELINE
Sales Executive	R25,000/month + commission	Direct client acquisition — target 15-20 new clients/month	Month 1
Client Success Manager	R20,000/month	Onboarding, training, retention — >95% retention target	Month 2
Part-time Finance/Admin	R8,000/month	Invoicing, accounting, SARS compliance, investor reporting	Month 3

SKILLS GAPS & STRATEGIC HIRING PLAN

GAP	CURRENT MITIGATION	RESOLUTION (POST-SEED)
Dedicated sales capacity	Founder-led sales	Sales Executive — Month 1
Client onboarding bandwidth	Founder handles directly	Client Success Manager — Month 2

GAP	CURRENT MITIGATION	RESOLUTION (POST-SEED)
Financial administration	Founder handles	Part-time finance resource — Month 3
Advisory board	Not yet established	1-2 independent advisors recruited by Q3 2026
DevOps / infrastructure	Founder manages directly	Contractor DevOps as client base scales past 300

Capital Efficiency: The founder has de-risked the investment by building the entire platform independently. Investor capital does **not** fund product development. **100% of proceeds go to revenue generation and team.** This is what expansion-stage investing looks like.

SECTION 10

RISK ANALYSIS & MITIGATION

RISK	IMPACT	MITIGATION
Slow client acquisition Lower than projected take-up of Founding Member offer	High	R299/user price is 60–80% below market with free implementation and training — zero friction to sign. Founder has direct outreach network. Organic break-even at just 46 clients (230 users) means extended runway even at slow acquisition pace. Funded break-even at 151 clients / ~755 users (subscription only) reached by month 9.
Competitive response Established players (Sage, SAP) aggressively discount	Medium	SiyaBusa's structural cost advantage (Vultr vs enterprise cloud) enables margin at prices incumbents cannot match. SA-native compliance is not replicable without multi-year rebuild.
Technical scalability Infrastructure strains as client base grows rapidly	Medium	Multi-tenant architecture designed for scale from day one. Vultr VPS can be vertically and horizontally scaled on-demand. 10% of seed proceeds ring-fenced for infrastructure.
Key-person dependency Founder is currently single point of failure	High	First hires (Sales + CS) begin immediately post-funding. Code is fully documented. Founder vesting schedule aligns incentives for long-term commitment. Advisory board to be established.
Regulatory change SARS or BBBEE rules change materially	Low-Medium	Compliance Hub module designed for rapid rule updates. Founder monitors SARS & CIPC regulatory pipeline. Local hosting ensures faster compliance turnaround than offshore competitors.
Price sensitivity SME clients resist any subscription commitment	Medium	All-inclusive Founding Member model (R299/user covers everything — implementation, training, support) eliminates all adoption friction. Competitors charge R50K–R500K for implementation alone. 3-year lock-in at R299 creates urgency and long-term anchor. Monthly billing reduces commitment further.
Cash flow (Year 1 deficit) Year 1 EBITDA negative (R-654K)	Low-Medium	R2M raise provides R1.35M closing cash after Year 1 deficit. Year 2 turns profitable (EBITDA R1.84M). Year 3 EBITDA of R7.88M creates strong cash reserve of R11.1M.
Funding shortfall Seed round not fully subscribed	Medium	SAFE instrument available as alternative — lower conversion risk for investors. Minimum viable raise of R500K (6 months runway) enables Phase 1 launch independently. Phased closing accepted.

Important Context: SiyaBusa ERP is an **expansion-stage business** — not a startup. The product has been fully designed, built, and deployed. The platform is live on production infrastructure (Johannesburg), serves active clients, and operates with a complete technical stack. Investment proceeds are allocated exclusively to **growth activities**: client acquisition, marketing, team, and operational scaling — not product development.

SECTION 11

INVESTMENT & FUNDING PROPOSAL

THE OFFER

TERM	DETAIL
Raise Amount	R2,000,000 (Two Million Rand)
Instrument Option A	Ordinary Shares @ R0.10/share — 20,000,000 shares (16.67% equity)
Instrument Option B	SAFE Agreement — R15,000,000 valuation cap 20% discount R5M equity financing trigger
Pre-Money Valuation	R10,000,000
Minimum Investment	R30,000 (300,000 shares = 0.25%)
Investor Rights	Pro-rata rights Board observer (≥10%) Monthly reports MFN (SAFE)
Governance Protection	Reserved matters requiring investor consent ROFR Tag-along Drag-along
Founder Vesting	4-year reverse vesting (25%/yr) — protects investor from founder exit

WHY R10M PRE-MONEY IS COMPELLING

A comparable ERP platform built by a development team costs **R3M-R5M in development alone** (10–15 engineers × 18 months). The R10M pre-money represents the intrinsic IP and operational value of a complete, production-deployed system — not a speculative premium on a concept. Investors are entering at near-build-cost valuation with significant upside.

INVESTOR RETURN SCENARIOS

SCENARIO	CLIENTS	EST. ANNUAL REVENUE	MULTIPLE	IMPLIED VALUATION	RETURN ON R500K (4.17%)
Conservative (Year 3)	~400	~R14,000,000	3×	R42,000,000	R1,751,000 (3.5×

SCENARIO	CLIENTS	EST. ANNUAL REVENUE	MULTIPLE	IMPLIED VALUATION	RETURN ON R500K (4.17%)
Base Case (Year 3)	~800	~R19,000,000	4×	R76,000,000	R3,169,000 (6.3×
Upside (Year 5)	~2,000	~R69,000,000	5×	R345,000,000	R14,387,000 (28.8×

TIMELINE TO INVESTOR RETURNS

QUARTER	MILESTONE	INVESTOR IMPLICATION
Q2 2026	Seed close, team hired, sales engine launched	Capital deployed immediately
Q3 2026	75+ Founding Members signed First MRR milestone	First revenue reporting
Q4 2026	200 Founding Members 1,000 users — R299K MRR	Operational proof complete
Q2 2027	400 clients standard pricing active approaching self-funding	Series A preparation begins
Q4 2027	Series A raise (R5M-R15M) at materially higher valuation	Seed investor uplift event
2029–2030	AltX listing or strategic acquisition	Full liquidity event

MINIMUM VIABLE RAISE

In the event the full R2M is not subscribed, the following phased close structure applies:

AMOUNT RAISED	PHASE UNLOCKED	RUNWAY
R500,000	Sales resources only — founder-led with marketing budget	6 months
R1,000,000	Phase 1 complete — first sales hire + full marketing	10 months
R2,000,000	Full Phase 1 + team + reserve (planned raise)	18 months

SECTION 12

STRATEGIC PARTNERSHIP & INVESTOR VALUE-ADD

SiyaBusa ERP is not only seeking capital — it is seeking **strategic partners** who can accelerate growth beyond what money alone can achieve. The following table outlines where investor expertise and networks directly multiply returns for both the company and the investor.

HOW INVESTORS AMPLIFY RETURNS (BEYOND CAPITAL)

INVESTOR CAPABILITY	APPLICATION	EXPECTED OUTCOME
Business Networks	Introductions to SME clients, CFOs, business owners	Accelerated client acquisition — each introduction worth R18K-R34K ARR
Financial Structuring	Guidance on Series A preparation, cap table management	Higher valuation at next raise cleaner structure
Governance Expertise	Board observer seat — quarterly input on strategy and execution	Reduced execution risk improved decision-making
Professional Services	Accounting firms, Legal firms, HR consultancies as clients	High-value reference clients with multi-seat licences
Sector Expertise	Professional services, manufacturing, retail, construction — sector penetration	Fast-track to sector-specific client base
BBBEE & Enterprise Support	Enterprise supplier development spend eligibility	Access to corporate SD/ED budgets as funding mechanism

INVESTOR COMMITMENTS FROM MASAPHOKATI TECHNOLOGIES

- Monthly reporting:** P&L, MRR, client count, burn rate, and pipeline — delivered within 10 days of month end
- Quarterly investor calls:** Video call with founder — business update, strategy review, questions
- Annual audited financials:** Within 90 days of financial year end
- Material event disclosure:** Any significant development (positive or negative) within 7 business days
- Pro-rata rights:** All investors have right to participate in future rounds to maintain percentage
- Board observer rights:** Any investor holding $\geq 10\%$ may appoint a non-voting board observer
- Open-book access:** Investors may request management accounts, bank statements, or client data (aggregated) at any time

The Core Proposition: You are investing in a **live, production-ready ERP platform** built by a South African founder for South African businesses. The product works. The market exists. The pricing is compelling. The infrastructure is live. **We are raising to move — not to build.**

Masaphokati Technologies (Pty) Ltd | Sibusiso Mavuso, Founder | April 2026 | CONFIDENTIAL

SiyaBusa ERP Capital Expansion Proposal — For discussion purposes only. Not a public offering.